ORDINANCE NO. 595

AN ORDINANCE AMENDING ORDINANCE NUMBER 366 PROVIDING FOR THE PAYMENT OF FRANCHISE TAXES BY ENTERGY ARKANSAS, LLC, AND FOR OTHER PURPOSES

WHEREAS, Arkansas Power and Light Company were the successor in interest to Arkansas-Missouri Power Company's franchise to operate an electric distribution system in the City of Rector (the "City") pursuant to Ordinance No. 366 of 1983;

WHEREAS, Entergy Arkansas, LLC (the Company) is the successor in interest to Arkansas Power and Light Company's franchise with the City;

WHEREAS, pursuant to Ordinance No. 366 of 1983, Arkansas-Missouri Power Company paid to the City five percent (5%) of the preceding year's gross electric revenues, excluding industrial and municipal revenues, paid to Arkansas-Missouri Power Company by its customers residing within the corporate limits of the City;

WHEREAS, now due to development within the city limits of the City of Rector, the City seeks to amend Ordinance 366 to add and include rates on *industrial* customers located within the corporate limits of the City including, and removing any limitations to now encompass residential, commercial, and industrial customers for franchise related fees.

NOW THEREFORE BE IT ORDAINED BY THE COUNCIIL OF THE CITY OF RECTOR ARKANSAS THAT:

SECTION ONE. Section 1 of Ordinance 366 shall be amended to state: Beginning February 1, 2026 and continuing thereafter, the Company shall collect and pay to the City five percent (5%) of its then gross electric revenue collections of its residential, commercial, and industrial customers located in the city limits of the City of Rector.

SECTION TWO. All other portions of Ordinance 366 shall remain in effect.

SECTION THREE. All other ordinances and parts of ordinances in conflict herewith are repealed, but only to the extent of such conflict.

SECTION FOUR. Severability. If any provision of this ordinance is found to be invalid or unconstitutional, the remaining portions of this Ordinance shall remain in effect and shall not be affected by any invalidity.

To be passed and approved this 11th NOVEMBER of 2025.

APPROVED: _____
Shawn Brandon, Mayor

ATTEST: _____
Debi Boyd, City Clerk